

Multiple Choice (10 marks)

1. If nominal GDP equals 5000 and real GDP equals 4000 then the GDP Deflator equals
 - (a) 0.5
 - (b) 125
 - (c) 500
 - (d) 0.8
 - (e) 100
2. What is the effect on savings of a tax cut of \$10 billion? Is this inflationary or deflationary? Assume that the marginal propensity to consume is 0.85.
 - (a) \$1.5 billion
 - (b) \$8.5 billion
 - (c) \$0.85 billion
 - (d) \$15 billion
 - (e) \$56.67 billion
3. The real interest rate is
 - (a) the anticipated inflation rate plus the nominal interest rate
 - (b) the nominal interest rate multiplied by the inflation rate
 - (c) what one sees when looking at bank literature
 - (d) the anticipated inflation rate minus the nominal interest rate
 - (e) the nominal interest rate minus anticipated inflation
4. What do we mean when we say that the farm problem may be correctly envisioned as a problem of resource misallocation?
 - (a) Overproduction and wastage of crops
 - (b) Lack of alternative employment
 - (c) Excessive government intervention in agriculture
 - (d) Inefficient farming methods
 - (e) Low income of farmers
5. What will be the properties of the OLS estimator in the presence of multicollinearity?
 - (a) It will not be unbiased or efficient
 - (b) It will be consistent and efficient but not unbiased

- (c) It will be efficient but not consistent or unbiased
- (d) It will be efficient and unbiased but not consistent
- (e) It will be consistent and unbiased but not efficient

True / False (10 marks)

Answer True or False

- 6. True or False: A decrease in the price of an inferior good can lead to a decrease in quantity demanded when the income effect outweighs the substitution effect.
- 7. True or False: An increase in the price of tea, a substitute for coffee, will likely lead to an increase in the demand for coffee.
- 8. True or False: The removal of a protective tariff on imported steel improves allocative efficiency by allowing resources to be used more effectively.
- 9. True or False: GDP is unaffected by the purchase of a second-hand painting, as it does not contribute to current economic production.
- 10. True or False: The entry of new firms into a monopolistically competitive industry has no effect on the overall cost structure of existing firms.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of structural unemployment by analyzing the case of a dark room technician losing his job due to the decline of film cameras. What broader economic implications does this situation suggest?
- 12. Discuss the rationale behind subtracting imports from aggregate demand while adding exports, focusing on their respective impacts on domestic production and employment.

End of Paper